Regal Rexnord Corporation

RRX | NYSE | 2026-10-07

Q4 2027 model ceiling: USD 261.58

Analytical Base 39/60 = 65 | Watchlist: accepted power-module output and profitable motion-program conversion

20x forward-four-quarter fully expensed normalized GAAP operating profit attributable to common less fixed gross debt and pension claims; end-window economic shares. Quarter plus next three.

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Writing-date snapshot: USD 164.17 per share (2026-10-07 close); 66.592 million common shares (2026-07-31 exact reported common outstanding); estimated equity capitalization USD 10,932.4 million. Dated NYSE quote times latest exact issuer sharecount; actualOctobercommon maydiffer. Excludesmodelawardreserve. This dated common-share snapshot is separate from forecast diluted shares.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	1,125.3	20x	67.920	261.58

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

D&A, acquired-intangible amortization, SBC, recurring restructuring and ARsellingfees remain in operating earnings. IEEPAhistoricrefunds excludedrecurringOP. No cash accumulation, buyback or acquiredbookvalue credit.. 20x forward-four-quarter fully expensed normalized GAAP operating profit attributable to common less fixed gross debt and pension claims; end-window economic shares. Quarter plus next three.

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD m unless a different unit is stated.

Investment conclusion: motion qualification and faster power delivery

Regal Rexnord sells the components that make industrial equipment move, then earns further business from replacement, service and redesign. Its precision-motion portfolio gives it a credible route into robotics. Its electrical power-module expansion addresses a more immediate problem: delivering an assembled, tested power system to a data center when on-site labor, coordination and commissioning are scarce.

These opportunities have different economics. A qualified motor, brake or precision transmission can retain proprietary engineering value. An ePOD combines substantial bought-in electrical equipment with design, integration and testing. Both can grow, but a dollar of module revenue is not economically equivalent to a dollar of specialized motion content. The central question is how much accepted output and fully expensed operating profit the new programs produce after funding inventory, hiring and customer qualification.

The active Q4 2027 ceiling is **$261.58**, using 20 times $1,125.32 million of forward-four-quarter operating profit, less $4,739.6 million of gross debt and pension claims, divided by 67.92 million economic shares. That window is October 2027 through September 2028. It is a conditional company model, not management guidance or an analyst target. The same operating reference without the probability-weighted new evidence produces $240.31. Neither calculation adds future accumulated cash or assumes share buybacks.

The analytical score is 39 of 60, or 65. This is a watchlist business with real engineering credentials and meaningful commercial evidence, tempered by leverage, modest differentiation in some products, residential-market weakness and an unproven module ramp. No holdings status is inferred from research coverage.

The business we actually own

Regal Rexnord's three continuing segments are Automation & Motion Control (AMC), Industrial Powertrain Solutions (IPS), and Power Efficiency Solutions (PES). AMC includes precision motors, drives, actuators and controls as well as traditional data-center switchgear and the developing ePOD business. IPS supplies bearings, gearing, couplings, conveying and other power-transmission products. PES supplies smaller motors, variable-speed controls, fans, blowers and integrated air-moving products, particularly for residential and commercial HVAC.

The 2023 Altra transaction expanded the precision-motion portfolio. The industrial motors and generators business was sold in April 2024, so this thesis does not quietly restore a divested generator-manufacturing business. Thomson electrical-power equipment and Thomson motion components also require care: a shared brand portfolio does not make every product a humanoid component. 2025 annual report

Fiscal 2025 external sales were $5,934.5 million: AMC $1,689.8 million, IPS $2,594.1 million and PES $1,650.6 million. Operating profit was $680.8 million after full acquisition amortization and other operating costs. The United

States represented 62.8% of sales and China 5.3%; a global manufacturing and supplier footprint still exposes margins to currencies, tariffs and material availability. No single customer exceeded 10% of annual sales. Diverse customers reduce one form of concentration but do not remove a common industrial cycle. Annual segment and geographic disclosures

Why a frameless motor is not a completed robotic joint

Kollmorgen's TBM2G product family is a useful concrete example of the engineering value. Its frameless rotor and stator let a machine designer integrate a motor into a compact mechanical assembly. Seven frame sizes span 50-115 mm, with designs for 48 VDC and below. Published continuous stall torque ranges from 0.27 to 6.03 Nm across variants. That is motor torque, not geared joint torque or a whole robot's payload rating. Winding-temperature capability also does not certify an assembled robot's ambient operating range. Kollmorgen product specifications

The customer still has to solve heat flow, bearings, gearing, encoder accuracy, braking, control and safe behavior over repeated duty cycles. More reduction increases output torque but introduces efficiency, backlash, reflected inertia and wear tradeoffs. A laboratory motion demonstration does not establish field lifetime or accepted factory yield. These qualification steps can make a proven component difficult to replace, while also delaying the supplier's revenue ramp.

Regal Rexnord can offer several parts of that system through Kollmorgen, Portescap, Thomson, Warner Electric and Berg. The June robotics exhibit established the breadth of the portfolio; it did not identify an undisclosed production customer. The model assigns no Tesla, Figure or other named customer win without evidence. Company robotics exhibit

Robotics has orders, but the order quality matters

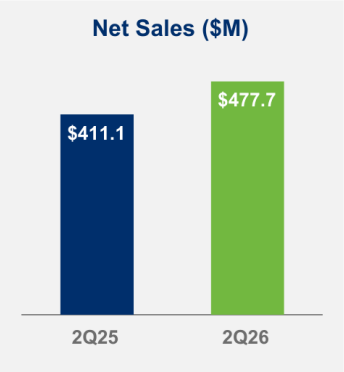
Management described roughly $40 million of 2025 humanoid orders as largely prototype-related. The first quarter of 2026 brought just over $1 million of additional humanoid orders. A broader robotics opportunity funnel above $200 million included non-humanoid applications; it is neither a $200 million firm order nor entirely humanoid revenue. This is stronger evidence than a product photograph, but it remains early commercialization. The complete May and August call discussions were reviewed, including the qualifications in Q&A. May call, August call

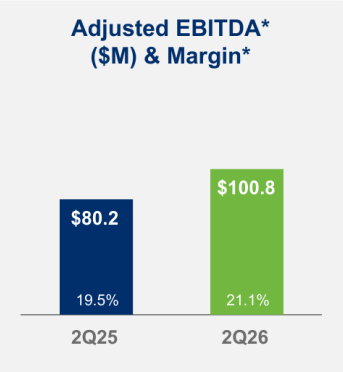
The operating reference already allows $35 million of humanoid development revenue in 2027, rising to $50 million in 2030. A separate 40% probability applies to conditional production sales of $50/$100/$160/$220 million in 2027-30, with 50% removed for overlap with existing development and broader robotics cross-selling. Thus the genuinely additional conditional sales are $25/$50/$80/$110 million. The selected revenue can be expressed as 12,500-55,000 equivalent $2,000 motion baskets; this is a transparent normalization, not a reported selling price or a forecast count of complete robots.

The commercial branch retains 45% gross profit, pays 15% variable engineering and selling costs, and funds $5 million of annual qualification support before applying the 40% probability. In 2027 that produces only $1 million of weighted incremental operating profit. The restrained near-term contribution reflects the actual prototype starting point, without treating lack of a confirmed production award as a reason to assign zero.

Sales

- **Net Sales Up 16.2%**
- **Organic Sales Up 15.6%**
- **Key Drivers**
  - Data Center (++)
  - Discrete Automation (++)
  - Aerospace & Defense (+)





* 2Q26 Adjusted EBITDA Margin of 19.9% excluding a $5.9 million IEEPA tariff refund benefit

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Strong Organic Sales & Orders Growth

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AMC orders and growth; issuer August5,2026 presentation, page7.

ePOD: a signed order meets a new production system

The initial ePOD order is much larger than the robotics opportunity currently flowing through revenue. Management discussed a $735 million order and roughly $700 million of 2027 module revenue, with traditional switchgear separately expected around $240-250 million. The August call clarified that the initial program spans 2027 and 2028, with approximately $15 million now expected in Q4 2026. Those statements are directional program expectations, not a complete audited 2027 company forecast. August management discussion

At June 30, remaining obligations for contracts longer than twelve months totaled $884 million, with 71.4%, or $631.176 million, assigned to 2027. That disclosure covers more than ePOD and excludes shorter contracts. It cannot be added to the $735 million order. Its timing also counsels against treating a rounded $700 million ambition as guaranteed annual shipments. June contract disclosures

The reference recognizes the original $735 million exactly once: $15 million in Q4 2026, $560 million in 2027 and $160 million in 2028. A 60% probability of faster acceptance moves $140 million from 2028 into 2027, with an equal later reversal. A separate 25% probability delays $112 million of the reference 2027 tranche into 2028 and incurs $10 million of conditional idle/ramp cost. These concern distinct shipment tranches, rather than contradictory claims on one unit. The weighted 2027 original-program sales are $616 million.

Management reported factory progress, hiring and customer design activity. A second shift can expand nominal throughput, but does not automatically create trained labor, qualified suppliers or accepted output. Modules also contain third-party switchgear and other equipment. RRX's revenue capture includes bought-in content, while its economic contribution comes from engineering, assembly, testing and delivery. No exclusive technology or monopoly margin is assumed.

Follow-on modules are valuable only if new orders convert

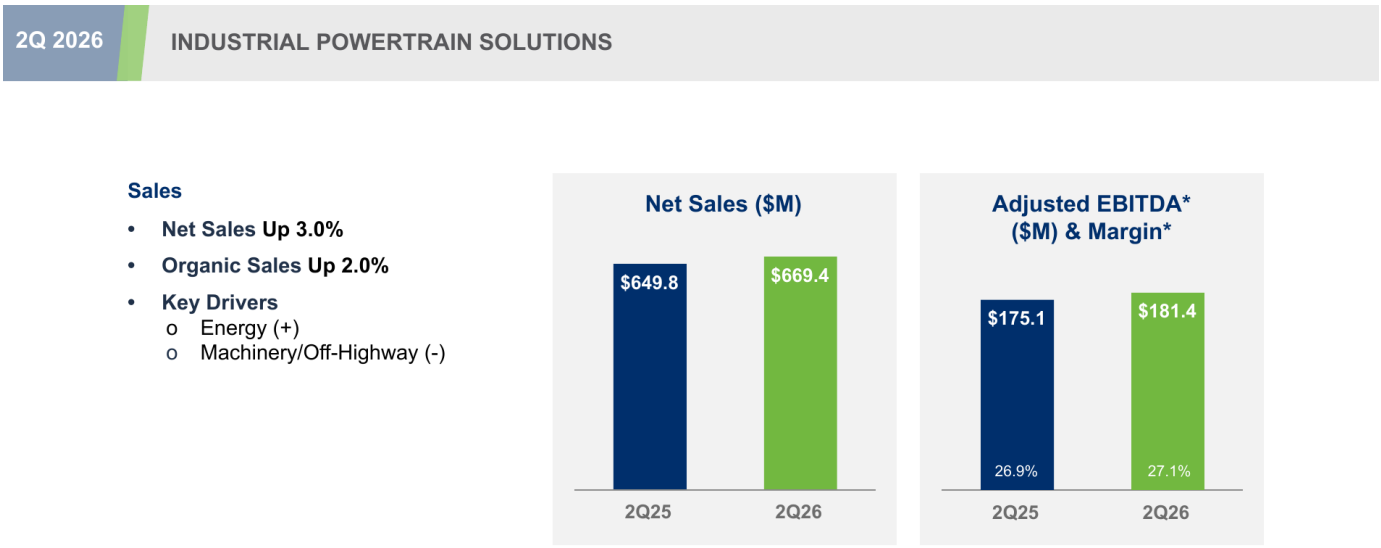
The 70% follow-on probability uses conditional accepted revenue of $850 million in 2028, $1.1 billion in 2029 and $1.3 billion in 2030, within disclosed model bounds of zero to $1.1/$1.5/$1.8 billion. A $5 million-equivalent module is an accounting scale for 170/220/260 accepted assemblies, not a disclosed physical product or contract ASP. All of this excludes the initial order and traditional switchgear.

A 27% gross margin less 9% variable operating expense produces 18% operating profit before fixed support, with depreciation and ordinary compensation already inside these costs. The branch separately funds $10 million of pre-ramp support in 2027, $8 million in 2028 and $4 million annually thereafter. This is below the discussed 20% or better adjusted-EBITDA ambition on a fully expensed basis. In 2028 the branch contributes $595 million of weighted sales and $101.5 million of weighted OP. The source supports a credible opportunity; the probability, sales range and margin remain model assumptions.

The strongest failure signal would be customer designs and orders growing while cash conversion, accepted shipments or product margins deteriorate. Customers' willingness to pay for faster delivery can support price, but competitors can also package similar equipment. ABB, Eaton and Schneider-type electrical content should not be mistaken for internally produced high-margin component sales.

The existing industrial businesses still determine the base

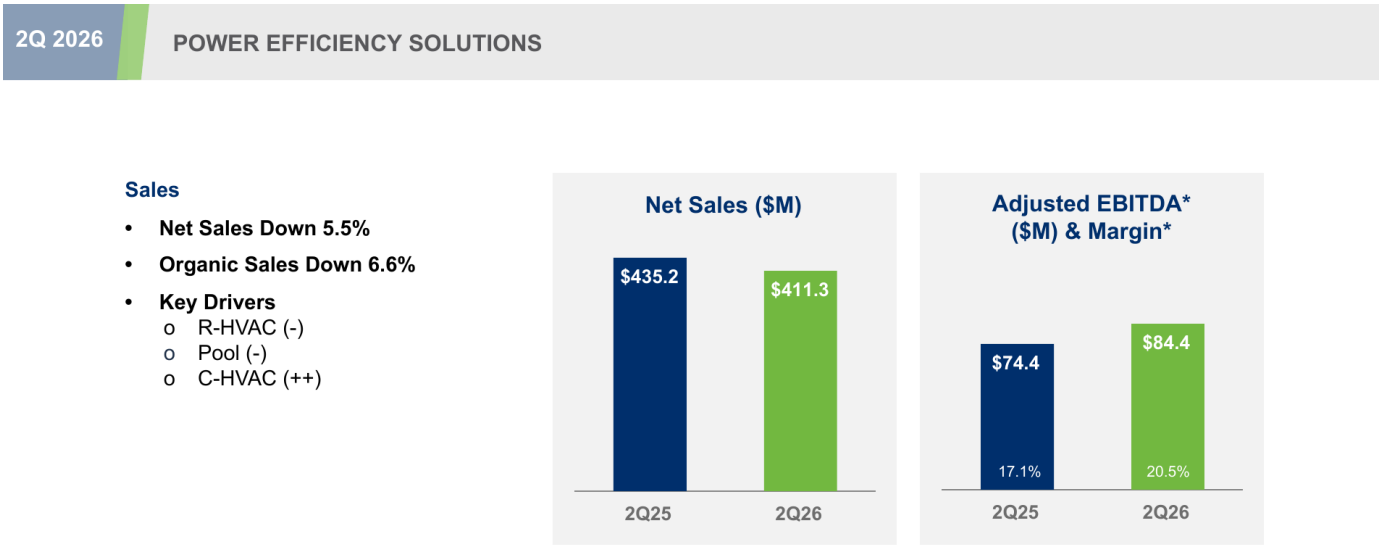
IPS generated $669.4 million of Q2 sales, $286.9 million of gross profit and $97.6 million of operating profit. Its long-lived equipment, distribution and replacement business can support margins through a cycle. That does not justify adding all future aftermarket spending to today's equipment sales. Project orders, distributor inventories and OEM schedules must convert at normal consolidated prices. Q2 filing



IPS order conversion and margins; issuer August5,2026 presentation, page8.

PES was weaker: Q2 sales fell 5.5% to $411.3 million as residential HVAC and pool weakness offset commercial strength. Its $84.4 million adjusted EBITDA included a $17.8 million tariff refund. Excluding that item, the margin

was 16.2%, not 20.5%. Motors used in cooling can benefit from data-center investment, but PES also serves ordinary buildings and consumer-related demand. The model keeps that mixed end-market exposure visible. August presentation



PES end-market mix; issuer August5,2026 presentation, page9.

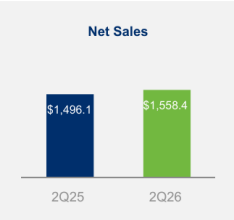
The reference grows IPS from an estimated $2.68 billion in 2026 to $2.85 billion in 2027 and $3.31 billion in 2030. PES rises from about $1.62 billion to $1.71 billion and $1.91 billion. Core AMC excluding the separately modeled programs grows from a roughly $1.66 billion 2026 allocation to $1.74 billion in 2027 and $2.07 billion in 2030. These are moderate recovery and share-capture assumptions, not a second addition of management's cross-selling target. Existing cross-selling is already part of ordinary sales.

What changed between the two calls

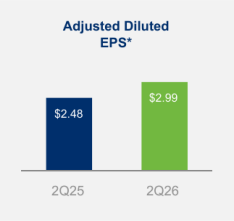
Q1 sales were $1,479.1 million and operating profit $152.6 million. Q2 sales rose to $1,558.4 million and operating profit $215.2 million, but $32 million of that quarter's gross profit came from IEEPA tariff recovery. Excluding it, operating profit was $183.2 million. Daily orders improved 8.8% overall, including 17.1% in AMC, 6.7% in IPS and 3.5% in PES. Demand was constructive; the quality of the earnings improvement needs the refund adjustment. Q2 release and presentation

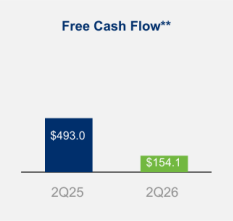
2Q 2026 — 2Q PERFORMANCE

- Daily Orders Up 8.8% Vs. Prior Year
  - AMC Orders Up 17.1%, On Broad-Based Strength
  - IPS Orders Up 6.7%, Strength In Energy, General Industrial
  - PES Orders Up 3.5%, Strength In C-HVAC
- Sales Up 3.3% On An Organic Basis
  - Headwinds In R-HVAC, Pool
  - Strength In Data Center, C-HVAC, Discrete Automation, Energy
- Adjusted Gross Margin Of 39.8% Or 37.8% Ex. IEEPA
  - Y/Y Headwinds From Inflation, Mix, Tariffs & Rare Earths, Net Of Volume & Synergy Benefits
- Adjusted EBITDA Margin Of 23.5% Or 21.5% Ex. IEEPA
  - AMC Margin Improves
- Adjusted Diluted EPS Of $2.99, Up ~21% Vs. Prior Year, Or $2.60 Ex. IEEPA, Up ~5% Vs. Prior Year
- Free Cash Flow Of ~$154 Million









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$ Millions, Except Per Share Data and Percentages
* 2Q26 Adjusted EBITDA and Adjusted Diluted EPS include IEEPA tariff refund benefits of $32.0 million, and $0.39, respectively
** 2Q25 period includes $369 million of proceeds from accounts receivable securitization program

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Q2 actuals and refund disclosure; issuer August5,2026 presentation, page6.

The August adjusted-EPS midpoint remained $10.60 after incorporating $0.57 per share of expected tariff-refund benefit. Meanwhile productivity improvements took longer, inflation outran near-term pricing, mix weakened and free-cash-flow guidance fell to approximately $600 million. Unchanged headline EPS therefore does not mean unchanged underlying economics. The earlier call's growth enthusiasm must be read alongside that later cost evidence. Full August Q&A

2Q 2026 — 2026 OUTLOOK - ENTERPRISE GUIDANCE

2026 Mid-Point Guidance (As of Aug 5, 2026)

($M, except as noted)	2026E (Prior)	2026E (Current) Ex. IEEPA	2026E (Current) With IEEPA
Sales ($B)	**~$6.20**	**~$6.20**	**~$6.20**
Growth (Y/Y)	*~4.5%*	*~4.5%*	*~4.5%*
Adj. EBITDA Margin	**~22.2%**	**~21.3%**	**~22.1%**
Depreciation	~$161		~$161
Amortization	~$345		~$345
Net Interest*	~$302		~$302
Minority Interest	~$1		~$1
Diluted Shares (M)	~66.8		~66.9
Adj. ETR	~22.5%		~21.5%
Adj. EPS ($)	**~$10.60**		**~$10.60**
Adj. EPS Range	*$10.20-$11.00*		*$10.35-$10.85*

- Revenue: Sales Growth Framework Unchanged.
- Adj. EBITDA Margin: Outlook Now Factors IEEPA Refunds Worth ~$48M, Net Of A Longer Timeline To Realize Productivity Gains To Prioritize Service; Higher Inflation; Less Favorable Mix.
- Free Cash Flow: Outlook Now ~$600 Million, On Higher Working Capital.
- Net Debt Leverage: Expect To Be Below 3x In The Second Half Of 2026.
- Tariffs: Shift From Section 122 To Announced Section 301 Tariffs Has Minimal Impact.

* Net interest includes charges related to accounts receivables securitization facility. See Appendix for Reconciliation to Corresponding GAAP Measure.

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Mid-Point Reflects ~10% Adjusted EPS Growth In 2026

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FY2026 guide including tariff refund; issuer August5,2026 presentation, page10.

The model calibrates 2026 sales to $6.2 billion and fully expensed recurring OP to $709.5 million. Restoring the year's $48 million operating refund benefit gives a $757.5 million GAAP OP proxy consistent with the midpoint earnings bridge. The reference Q3/Q4 recurring OP is $175.9/$197.8 million before the small noncontrolling attribution. Q4 assumes an IPS productivity recovery; explicit remaining operating-cost allowances of $6.93/$2.63 million keep the reconciliation visible rather than burying a negative expense plug.

2Q 2026 | 2026 OUTLOOK - SEGMENT DETAIL

	3Q 2026			FY 2026		
Segment	Sales ($M)	Adj. EBITDA Margin Ex. IEEPA	Adj. EBITDA Margin With IEEPA	Sales (Y/Y)	Adj. EBITDA Margin Ex. IEEPA	Adj. EBITDA Margin With IEEPA
		Reference	Guidance		Reference	Guidance
AMC	$455 - $465	18.5% - 19.5%	18.8% - 19.8%	+LDD	19.0% - 20.0%	19.5% - 20.5%
IPS	$655 - $670	25.5% - 26.5%	26.0% - 27.0%	+LSD	25.5% - 26.5%	26.0% - 27.0%
PES	$435 - $445	16.3% - 17.3%	17.3% - 18.3%	Flat/(LSD)	15.3% - 16.3%	17.0% - 18.0%

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Quarter and annual segment margin scope; issuer August5,2026 presentation, page11.

Expenses, pricing and the operating-profit path

The reference uses six product vectors, with gross margins and ordinary expense ratios separately stated in the linked model. Product-level margins are allocations, not issuer disclosures. For example, core AMC gross margin rises from 39% in 2027 to 41% in 2030, while ordinary operating expense moves from 21.3% to 20.9% of sales. IPS gross margin rises from 43% to 44.2%, and PES from 31.5% to 32.5%. These are execution requirements, not achieved economics. The improving mix and recovered productivity must be earned.

Research and development is separately displayed as an allocation inside ordinary segment expense. It is not added again to the same SG&A costs. Corporate support is already allocated in reported segment economics. Full acquired-intangible amortization remains $342.2/$336.6/$329.5/$327.4 million across 2027-30, consistent with the existing asset schedule, alongside depreciation, SBC, receivables-sale fees and recurring restructuring. The model does not call acquisition amortization free simply because it is noncash. Annual intangible schedule

ADJUSTED EBITDA

Unaudited
(Dollars in Millions)

	Three Months Ended							
	Automation & Motion Control		Industrial Powertrain Solutions		Power Efficiency Solutions		Total Regal Rexnord	
	Jun 30, 2026	Jun 30, 2025	**Jun 30, 2026**	Jun 30, 2025	**Jun 30, 2026**	Jun 30, 2025	**Jun 30, 2026**	Jun 30, 2025
GAAP Income from Operations[a]	**$ 48.5**	$ 30.4	**$ 97.6**	$ 92.4	**$ 69.1**	$ 59.5	**$ 215.2**	$ 182.3
Restructuring and Related Costs[b]	**0.7**	1.8	**6.2**	7.8	**2.5**	1.0	**9.4**	10.6
Transaction and Integration Related Costs[c]	**1.1**	1.3	**3.4**	4.0	**0.9**	1.0	**5.4**	6.3
CEO Transition Costs	**0.7**	—	**1.0**	—	**0.5**	—	**2.2**	—
Loss on Sale of Accounts Receivable[d]	**1.2**	—	**1.8**	—	**0.9**	—	**3.9**	—
Accounts Receivable Securitization Transaction Costs	**0.2**	0.3	**0.3**	0.4	**0.2**	0.3	**0.7**	1.0
Operating Lease Asset Step Up	**—**	—	**0.2**	0.2	**—**	—	**0.2**	0.2
(Gain) Loss on Sale of Assets	**—**	(2.3)	**2.4**	—	**—**	—	**2.4**	(2.3)
Adjusted Income from Operations	**$ 52.4**	$ 31.5	**$ 112.9**	$ 104.8	**$ 74.1**	$ 61.8	**$ 239.4**	$ 198.1
Amortization	**$ 34.6**	$ 34.5	**$ 51.2**	$ 50.6	**$ 0.6**	$ 1.7	**$ 86.4**	$ 86.8
Depreciation	**13.1**	10.9	**16.3**	15.7	**9.1**	8.8	**38.5**	35.4
Amortization of Internal Use Software	**0.1**	—	**0.1**	—	**0.1**	—	**0.3**	—
Share-Based Compensation Expense	**0.7**	3.3	**0.7**	4.5	**0.9**	2.5	**2.3**	10.3
Other (Expense) Income, Net	**(0.1)**	—	**0.2**	(0.5)	**(0.4)**	(0.4)	**(0.3)**	(0.9)
Adjusted EBITDA[a]	**$ 100.8**	$ 80.2	**$ 181.4**	$ 175.1	**$ 84.4**	$ 74.4	**$ 366.6**	$ 329.7
GAAP Operating Margin %	**10.1 %**	7.4 %	**14.6 %**	14.2 %	**16.8 %**	13.7 %	**13.8 %**	12.2 %
Adjusted Operating Margin %	**11.0 %**	7.7 %	**16.9 %**	16.1 %	**18.0 %**	14.2 %	**15.4 %**	13.2 %
Adjusted EBITDA Margin %	**21.1 %**	19.5 %	**27.1 %**	26.9 %	**20.5 %**	17.1 %	**23.5 %**	22.0 %

(a) Includes benefits of $5.9 million, $8.3 million, $17.8 million and $32.0 million for AMC, IPS, PES and total Regal Rexnord, respectively, related to IEEPA tariff refunds for the three months ended June 30, 2026.

(b) Relates to costs associated with actions taken for employee reductions, facility consolidations and site closures, product line exits and other asset charges.

(c) Primarily relates to integration costs associated with the Altra Transaction.

(d) Represents charges associated with the Securitization Facility.

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Segment operating-profit reconciliation; issuer August5,2026 presentation, page18.

A 50% probability of selective repricing applies a 2% conditional increase to 30% of eligible core invoices, then removes 50% overlap with ordinary reference price recovery. Fixed initial ePOD backlog and separately modeled growth programs are excluded. After 70% gross-profit retention and 10% variable expense, the conditional incremental OP is 60% of net price revenue. This reflects the customer's cost of waiting while allowing for supplier inflation and contract limits.

A 25% magnet-constraint downside reduces conditional core AMC sales by 2%, representing a 10% miss on a 20% eligible exposure proxy. The branch loses 45% gross profit, saves 15% variable expense and retains fixed cost. Management said commercial supply was largely mitigated while defense approvals remained harder; the model therefore avoids both a universal shutdown and an automatic scarcity windfall.

Active annual revenue/OP is $7,202/$983 million in 2027, $7,708/$1,160 million in 2028, $8,169/$1,300 million in 2029 and $8,659/$1,431 million in 2030. Relative to the recurring 2026 base, OP grows faster than revenue because PPA is broadly fixed, core margins recover and accepted new programs add contribution. A failure to reach the gross-margin and expense ratios would invalidate this earnings path even if sales orders remain strong.

Cash, debt and the ability to reach the forecast

June cash was $441.6 million. Debt carrying value was $4,611.8 million, versus $4,640 million of principal including $92.4 million of finance leases. The main maturities are the $18.1 million Altra note in October 2026, $1.25 billion in April 2028, the $850 million term facility in February 2029, $1.1 billion in February 2030 and the existing $72.5 million revolver balance by November 2030. The $1.25 billion 2033 note remains beyond the modeled period. June available revolver capacity was $1,427.5 million. June debt disclosure

DEBT TO EBITDA

Unaudited
(Dollars in Millions)

	Last Twelve Months Jun 30, 2026
Net Income	$ 324.9
Plus: Income Taxes	73.7
Plus: Interest Expense	331.6
Less: Interest Income	(25.2)
Plus: Depreciation	154.7
Plus: Amortization	346.9
EBITDA[a]	$ 1,206.6
Plus: Restructuring and Related Costs[b]	40.6
Plus: Share-Based Compensation Expense	27.9
Plus: Transaction and Integration Related Costs[c]	22.1
Plus: Loss on Sale of Accounts Receivable[d]	17.2
Plus: Accounts Receivable Securitization Transaction Costs	0.9
Plus: CEO Transition Costs	9.2
Plus: Operating Lease Asset Step Up	0.8
Plus: Amortization of Internal Use Software	0.5
Plus: Loss on Sale of Businesses	4.5
Plus: Loss on Sale of Assets	8.6
Adjusted EBITDA[a][e]	$ 1,338.9
Current Maturities of Long-Term Debt	24.2
Long-Term Debt	4,587.6
Total Gross Debt	$ 4,611.8
Cash and Cash Equivalents	(441.6)
Net Debt	$ 4,170.2
Gross Debt/Adjusted EBITDA	3.44
Net Debt/Adjusted EBITDA[e]	3.11
Interest Coverage Ratio[e][f]	4.37

(a) Includes a benefit of $32.0 million related to IEEPA tariff refunds.

(b) Relates to costs associated with actions taken for employee reductions, facility consolidations and site closures, product line exits and other asset charges.

(c) Primarily relates to integration costs associated with the Altra Transaction.

(d) Represents charges associated with the Securitization Facility.

(e) Synergies expected to be realized in the future are included in the calculation of EBITDA that serves as the basis for financial covenant compliance for certain of the Company's debt. The impact of the synergies the Company expects to realize within 18 months is as follows:

Adjusted EBITDA	$ 1,338.9
Synergies to be Realized Within 18 Months	25.0
Adjusted EBITDA (including synergies)	$ 1,363.9
Net Debt/Adjusted EBITDA (including synergies)	3.06
Interest Expense	$ 331.6
Interest Income	(25.2)
Net Interest Expense	$ 306.4
Interest Coverage Ratio (including synergies)[1]	4.45

(1) Computed as Adjusted EBITDA (including synergies)/Net Interest Expense

(f) Computed as Adjusted EBITDA/Net Interest Expense

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Gross debt and covenant-style EBITDA bridge; issuer August5,2026 presentation, page23.

The gross-claims reserve adds the $99.6 million pension liability once. Operating rent is already expensed, so the $154.6 million operating-lease liability is not also deducted as a second claim. Pension service cost remains in OP; cash funding subtracts contributions net of that already expensed service amount. Only $0.25 million per quarter of common attribution is reserved for noncontrolling interests; their book equity is not separately deducted as well.

The company had derecognized $373.6 million of receivables through its sale program. That is not an extra $373.6 million of ordinary corporate debt while simultaneously ignoring the sold assets. It does create a renewal dependency. A 25% nonrenewal case funds the entire balance back onto the cash-funded operating cycle in Q4 2027. The existing sale fees remain conservatively inside earnings. Separately, contract assets of $130.8 million materially exceeded contract liabilities of $20.8 million, so new programs cannot be modeled as customer-funded inventory by default. Receivables and contract disclosures

All 128 combinations of the seven probability branches are funded quarter by quarter. The test begins with reported June cash, subtracts cash interest, taxes, working capital, capex, pension funding, share withholding and principal, and adds back D&A, PPA and SBC once. Cash tax is a conservative 22% of OP less funding interest plus PPA proxy, calibrated near the first-half cash tax burden; it is not a legal claim that all PPA is nondeductible. H2 capex is $80.1 million, followed by 3% of sales. An additional $80 million project-working-capital buffer is retained in 2027.

The funding test produces about $468 million of 2026 free cash flow versus management's $600 million outlook. That deliberate gap reflects conservative tax and working-capital conversion; it is not presented as issuer guidance. Of $38.1 million of accepted tariff recovery, $21 million had already been collected by June. Only the remaining $17.1 million receivable enters future cash. Neither that collection nor prospective refunds receive a second recurring earnings valuation.

Maintaining liquidity requires flexibility: modeled dividends can be deferred to protect $250 million of cash, upcoming maturities and the 2030 revolver repayment. Across the full period, the most constrained path defers about $330 million relative to the intended dividend schedule. Maximum additional revolver draw is $526 million,

within reported availability, and it is fully repaid at the modeled 2030 expiry. This is a funding plan with discretionary distributions, not a claim that the dividend is secure in every scenario. No indefinite refinancing or equity placement is assumed.

The fixed $4,739.6 million claims reserve receives no benefit from scheduled debt paydown or accumulated cash. All modeled debt paths remain below that opening principal reserve. This keeps valuation conservative while the separate cash schedule proves maturities can be met. If facilities were withdrawn, working capital were materially larger or cost recovery failed more severely than the bounded cases, the financing assumptions would need revision before adopting the ceiling.

Shares, ownership and valuation discipline

The latest exact reported common count was 66,591,867 on July 31. Opening model economic shares are 67.6 million, allowing a 1.008 million net award reserve, then increasing by 0.04 million per quarter. The reserve is a labeled conservative reconciliation of potential net awards and incomplete settlement information, not the full unused incentive-plan authorization. SAR face counts, issued restricted shares, withheld shares and maximum PSU outcomes cannot all be added independently. Exercise proceeds and future buybacks receive no valuation credit. June share and award disclosures

The same share schedule is used in every state. Since all raw common-equity outcomes remain positive, the probability-weighted linear valuation exactly matches the weighted average of individual state values. At Q4 2027 the formula is (20 x $1,125.321456 million - $4,739.6 million) / 67.92 million. This is an operating-profit valuation, not a P/E applied to adjusted EPS. The current dated common-share snapshot and forward economic denominator serve different purposes.

Competition, catalysts and evidence that would change the result

The useful competitive advantage is qualification, application engineering, reliability and channel support. It varies by product. Precision motors compete with alternative integrated actuators, regional motor suppliers and customers' internal designs. IPS competes on availability, service and total cost over long equipment lives. PES faces competitive OEM pricing and a cyclical residential end market. ePOD customers can select another integrator or move more assembly in-house as labor and equipment availability improve. None of these markets warrants an unverified monopoly claim.

The next decisive evidence is accepted first ePOD revenue and margin, a firm follow-on order schedule, conversion of robotics prototypes to recurring production, and restored cash conversion. October's RoboBusiness event is a technical opportunity, not advance proof of an award. Original management commentary provides no basis for identifying the unnamed US robotics counterparty. Scheduled company exhibit

A higher ceiling would require accepted new programs, better profit per accepted unit, or verified claims/share improvements. Larger opportunity funnels alone are insufficient. A lower ceiling is warranted if fixed-price modules absorb component inflation, factory delays consume cash, residential weakness persists, or precision motion becomes more commoditized. The full expense and funding model makes those failure modes testable.

Holding the other assumptions fixed, two percentage points less gross margin across the active window lowers the ceiling to $216.53. One million additional economic shares gives $257.79, and an extra $500 million of claims gives $254.22. Setting the follow-on ePOD probability to zero, including removal of its probability-weighted costs, gives $240.31. These are isolated sensitivities, not complete financing recalculations or independent alternative scenarios.

The August 5 earnings presentation, Q2 filing, annual report and both complete earnings-call discussions support this review. A separate August 10 investor presentation was publicly listed but its original could not be retrieved; it is an explicit coverage gap. Technical product pages are specifications and marketing evidence, not audited customer economics. No new outside-universe recommendation is inferred from an old component bill of materials or an unnamed customer.

Funding path visible to the reader

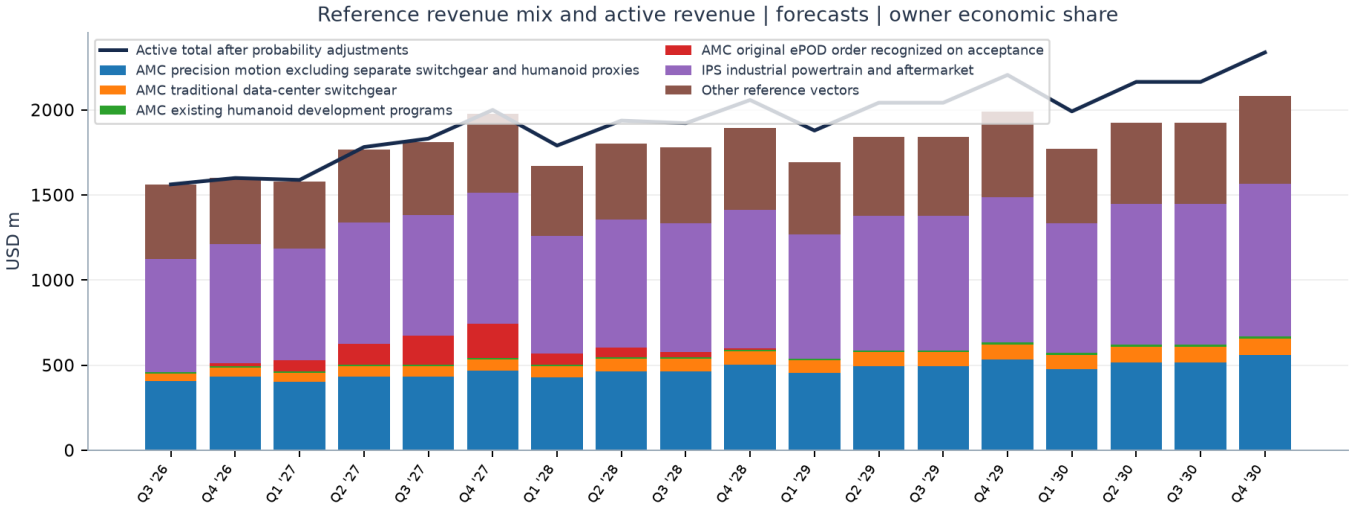
USD millions. Expected cash is probability weighted; minimum cash and maximum additional revolver are taken across all 128 paths and need not occur in the same path. Capex is expected. Scheduled principal excludes additional revolver repayment; all extra drawings are separately repaid in Q4 2030. Fixed valuation claims remain unchanged even when actual modeled debt falls. Dividend deferral is part of the funding policy.

Quarter	Expected cash	Minimum cash	Max extra revolver	Capex	Scheduled principal
Q3 2026	578.0	578.0	0.0	40.0	1.5
Q4 2026	689.6	689.6	0.0	40.0	19.6
Q1 2027	809.3	806.2	0.0	47.7	1.5
Q2 2027	914.9	906.8	0.0	53.5	1.5
Q3 2027	1,079.7	1,062.9	0.0	54.9	1.5
Q4 2027	1,150.9	842.7	0.0	60.0	1.5
Q1 2028	1,393.3	1,064.1	0.0	53.7	1.5
Q2 2028	386.3	250.0	228.9	58.1	1,251.5
Q3 2028	627.4	461.5	228.9	57.7	1.5
Q4 2028	859.1	666.0	228.9	61.7	1.5
Q1 2029	294.5	250.0	389.9	56.4	851.5
Q2 2029	536.4	461.1	389.9	61.3	1.5
Q3 2029	811.0	701.5	389.9	61.3	1.5
Q4 2029	1,078.4	935.5	389.9	66.2	1.5
Q1 2030	310.6	250.0	526.0	59.7	1,101.5
Q2 2030	568.3	469.4	526.0	64.9	1.5
Q3 2030	856.3	719.4	526.0	64.9	1.5
Q4 2030	958.1	402.8	0.0	70.1	74.0

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	15	Qualified motion components and service channels; ePOD integration has lower proprietary content.
Cycle	7	Order recovery and urgent power delivery, offset by weak residential HVAC and pool.
TAM	7	New power modules and precision robotics have measurable supplier content; not all end-market spend.
Catalysts	4	First accepted ePOD deliveries, follow-on orders and motion-program qualification.
Macro	7	Electrification and automation support growth; tariffs, rates and industrial cyclicality remain.
Alpha	3	Prototype conversion, GAAP amortization and cash timing are more useful than adjustedEPS alone.
Risk classes	-4	Leverage, new-factory execution, customer terms and uncertain humanoid production.
Total	39/60	Rounded Base 65. Both artifact and new workbook row use this score; this is not a manual override.

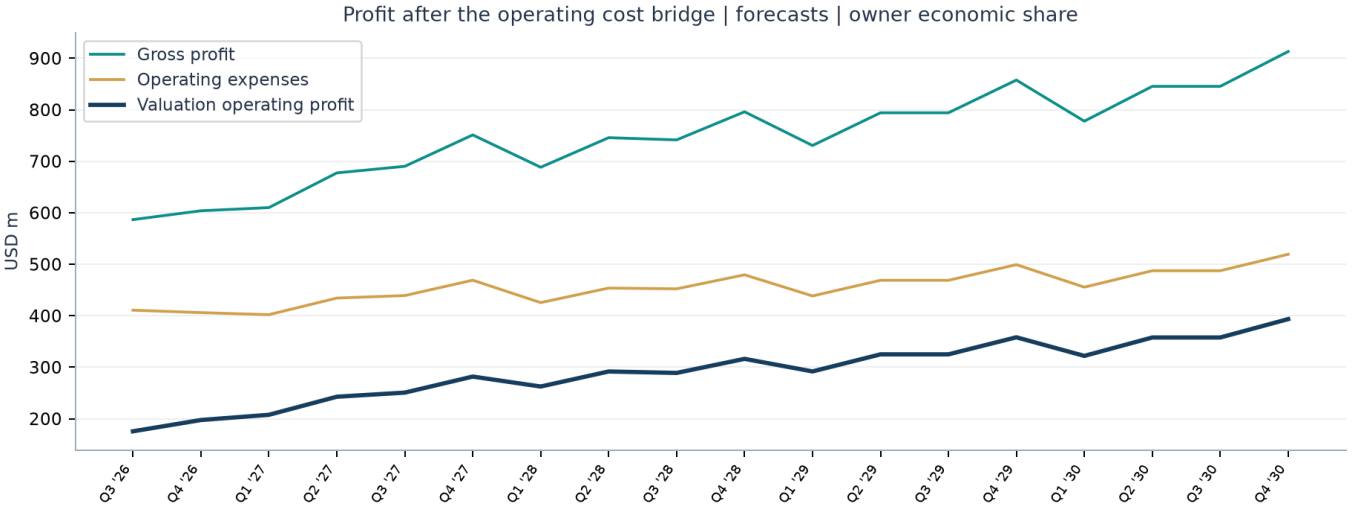
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	1,562.5	0.0	1,562.5
Q4 2026	1,600.0	0.0	1,600.0
Q1 2027	1,579.5	9.3	1,588.7
Q2 2027	1,767.0	15.1	1,782.0
Q3 2027	1,811.8	19.6	1,831.3
Q4 2027	1,976.9	23.2	2,000.0
Q1 2028	1,671.2	119.3	1,790.5
Q2 2028	1,803.0	134.4	1,937.4
Q3 2028	1,779.0	142.8	1,921.8
Q4 2028	1,894.8	163.6	2,058.3
Q1 2029	1,694.2	184.7	1,878.9
Q2 2029	1,841.5	200.8	2,042.3
Q3 2029	1,841.5	200.8	2,042.3
Q4 2029	1,988.8	216.8	2,205.7
Q1 2030	1,771.9	219.7	1,991.6
Q2 2030	1,926.0	238.8	2,164.8
Q3 2030	1,926.0	238.8	2,164.8
Q4 2030	2,080.1	257.9	2,338.0

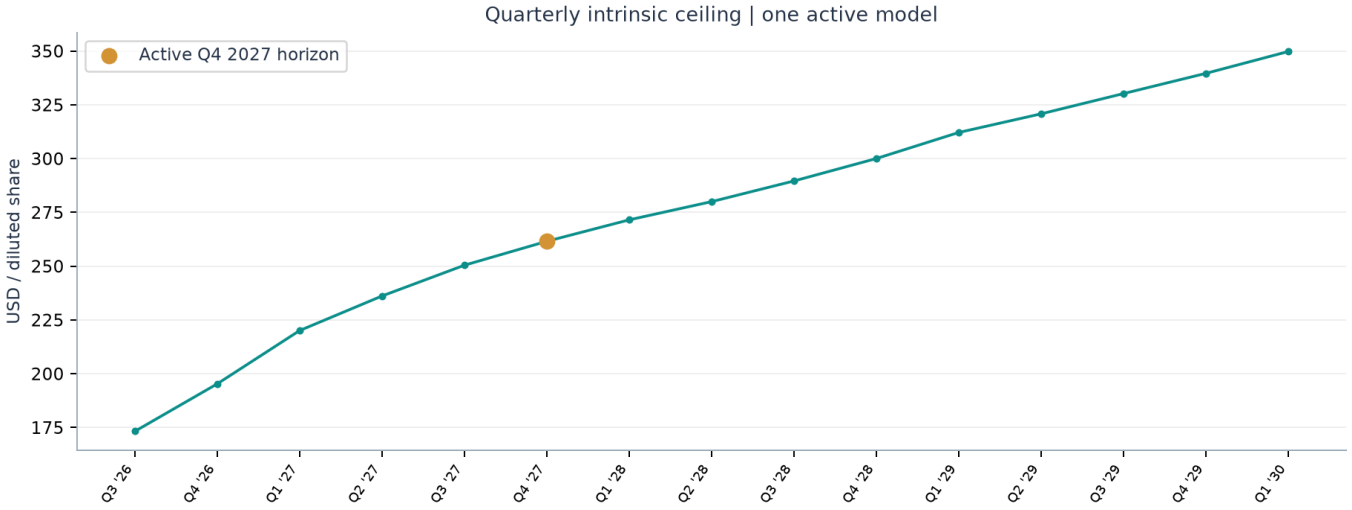
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	1,562.5	586.7	410.8	175.6	11.2%
Q4 2026	1,600.0	603.9	406.1	197.5	12.3%
Q1 2027	1,588.7	610.0	402.1	207.7	13.1%
Q2 2027	1,782.0	677.4	434.4	242.8	13.6%
Q3 2027	1,831.3	690.2	439.2	250.8	13.7%
Q4 2027	2,000.0	751.2	469.1	281.9	14.1%
Q1 2028	1,790.5	688.4	425.6	262.6	14.7%
Q2 2028	1,937.4	745.9	453.8	291.8	15.1%
Q3 2028	1,921.8	741.6	452.3	289.0	15.0%
Q4 2028	2,058.3	796.1	479.6	316.3	15.4%
Q1 2029	1,878.9	730.7	438.5	291.9	15.5%
Q2 2029	2,042.3	794.2	468.9	325.1	15.9%
Q3 2029	2,042.3	794.2	468.9	325.1	15.9%
Q4 2029	2,205.7	857.7	499.3	358.2	16.2%
Q1 2030	1,991.6	777.9	455.6	322.1	16.2%
Q2 2030	2,164.8	845.5	487.5	357.8	16.5%
Q3 2030	2,164.8	845.5	487.5	357.8	16.5%
Q4 2030	2,338.0	913.2	519.4	393.5	16.8%

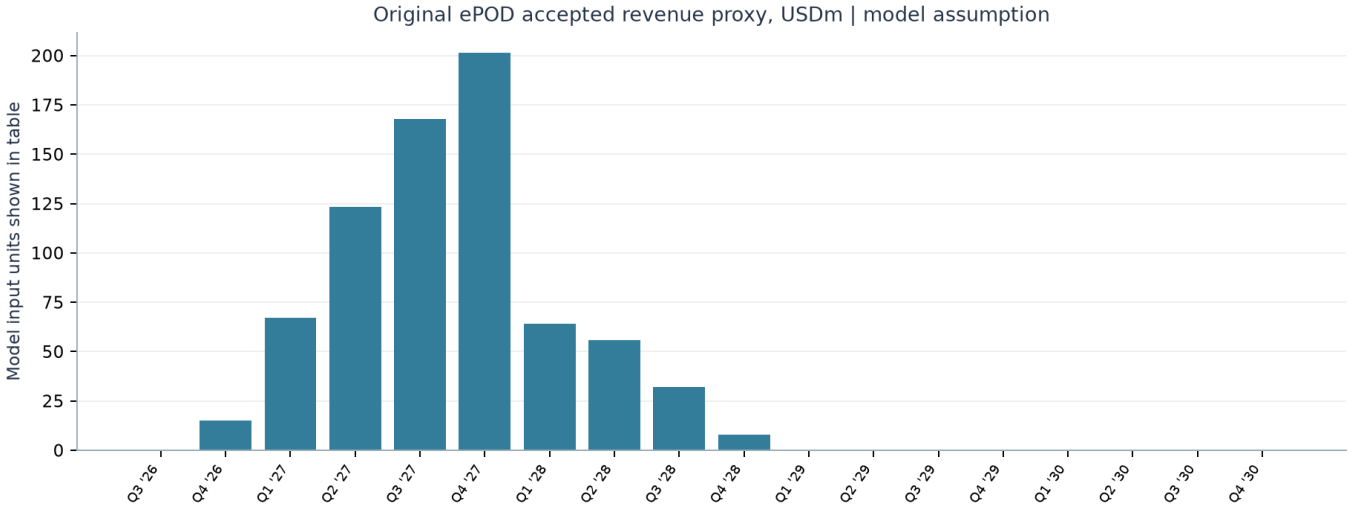
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Four-quarter earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 to Q2 2027	823.6	20x	67.720	173.26
Q4 2026	Q4 2026 to Q3 2027	898.8	20x	67.760	195.33
Q1 2027	Q1 2027 to Q4 2027	983.1	20x	67.800	220.10
Q2 2027	Q2 2027 to Q1 2028	1,038.1	20x	67.840	236.17
Q3 2027	Q3 2027 to Q2 2028	1,087.1	20x	67.880	250.47
Q4 2027	Q4 2027 to Q3 2028	1,125.3	20x	67.920	261.58
Q1 2028	Q1 2028 to Q4 2028	1,159.7	20x	67.960	271.56
Q2 2028	Q2 2028 to Q1 2029	1,189.1	20x	68.000	280.03
Q3 2028	Q3 2028 to Q2 2029	1,222.3	20x	68.040	289.64
Q4 2028	Q4 2028 to Q3 2029	1,258.4	20x	68.080	300.06
Q1 2029	Q1 2029 to Q4 2029	1,300.3	20x	68.120	312.18
Q2 2029	Q2 2029 to Q1 2030	1,330.4	20x	68.160	320.84
Q3 2029	Q3 2029 to Q2 2030	1,363.2	20x	68.200	330.26
Q4 2029	Q4 2029 to Q3 2030	1,395.9	20x	68.240	339.66
Q1 2030	Q1 2030 to Q4 2030	1,431.2	20x	68.280	349.81

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Original ePOD accepted revenue proxy, USDm	Status
Q3 2026	0.000	Calendar model; separate from issuer adjusted guidance
Q4 2026	15.000	Calendar model; separate from issuer adjusted guidance
Q1 2027	67.200	Calendar model; separate from issuer adjusted guidance
Q2 2027	123.200	Calendar model; separate from issuer adjusted guidance
Q3 2027	168.000	Calendar model; separate from issuer adjusted guidance
Q4 2027	201.600	Calendar model; separate from issuer adjusted guidance
Q1 2028	64.000	Calendar model; separate from issuer adjusted guidance
Q2 2028	56.000	Calendar model; separate from issuer adjusted guidance
Q3 2028	32.000	Calendar model; separate from issuer adjusted guidance
Q4 2028	8.000	Calendar model; separate from issuer adjusted guidance
Q1 2029	0.000	Calendar model; separate from issuer adjusted guidance
Q2 2029	0.000	Calendar model; separate from issuer adjusted guidance

Quarter	Original ePOD accepted revenue proxy, USDm	Status
Q3 2029	0.000	Calendar model; separate from issuer adjusted guidance
Q4 2029	0.000	Calendar model; separate from issuer adjusted guidance
Q1 2030	0.000	Calendar model; separate from issuer adjusted guidance
Q2 2030	0.000	Calendar model; separate from issuer adjusted guidance
Q3 2030	0.000	Calendar model; separate from issuer adjusted guidance
Q4 2030	0.000	Calendar model; separate from issuer adjusted guidance

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin, except explicitly labeled zero-sales cost credits. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	AMC precision motion excluding separate switchgear and humanoid proxies	405.0	36.9%	149.4
Q3 2026	AMC traditional data-center switchgear	45.0	40.0%	18.0
Q3 2026	AMC existing humanoid development programs	10.0	42.0%	4.2
Q3 2026	AMC original ePOD order recognized on acceptance	0.0	23.0%	0.0
Q3 2026	IPS industrial powertrain and aftermarket	662.5	42.4%	280.9
Q3 2026	PES motors, air-moving and commercial/residential HVAC	440.0	30.5%	134.2
Q4 2026	AMC precision motion excluding separate switchgear and humanoid proxies	435.0	36.9%	160.5
Q4 2026	AMC traditional data-center switchgear	50.0	40.0%	20.0
Q4 2026	AMC existing humanoid development programs	10.0	42.0%	4.2
Q4 2026	AMC original ePOD order recognized on acceptance	15.0	23.0%	3.5
Q4 2026	IPS industrial powertrain and aftermarket	700.0	42.4%	296.8
Q4 2026	PES motors, air-moving and commercial/residential HVAC	390.0	30.5%	119.0
Q1 2027	AMC precision motion excluding separate switchgear and humanoid proxies	400.2	39.0%	156.1
Q1 2027	AMC traditional data-center switchgear	55.2	43.0%	23.7
Q1 2027	AMC existing humanoid development programs	8.1	44.0%	3.5
Q1 2027	AMC original ePOD order recognized on acceptance	67.2	26.0%	17.5
Q1 2027	IPS industrial powertrain and aftermarket	655.5	43.0%	281.9
Q1 2027	PES motors, air-moving and commercial/residential HVAC	393.3	31.5%	123.9
Q2 2027	AMC precision motion excluding separate switchgear and humanoid proxies	435.0	39.0%	169.7
Q2 2027	AMC traditional data-center switchgear	60.0	43.0%	25.8
Q2 2027	AMC existing humanoid development programs	8.8	44.0%	3.9

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2027	AMC original ePOD order recognized on acceptance	123.2	26.0%	32.0
Q2 2027	IPS industrial powertrain and aftermarket	712.5	43.0%	306.4
Q2 2027	PES motors, air-moving and commercial/residential HVAC	427.5	31.5%	134.7
Q3 2027	AMC precision motion excluding separate switchgear and humanoid proxies	435.0	39.0%	169.7
Q3 2027	AMC traditional data-center switchgear	60.0	43.0%	25.8
Q3 2027	AMC existing humanoid development programs	8.8	44.0%	3.9
Q3 2027	AMC original ePOD order recognized on acceptance	168.0	26.0%	43.7
Q3 2027	IPS industrial powertrain and aftermarket	712.5	43.0%	306.4
Q3 2027	PES motors, air-moving and commercial/residential HVAC	427.5	31.5%	134.7
Q4 2027	AMC precision motion excluding separate switchgear and humanoid proxies	469.8	39.0%	183.2
Q4 2027	AMC traditional data-center switchgear	64.8	43.0%	27.9
Q4 2027	AMC existing humanoid development programs	9.5	44.0%	4.2
Q4 2027	AMC original ePOD order recognized on acceptance	201.6	26.0%	52.4
Q4 2027	IPS industrial powertrain and aftermarket	769.5	43.0%	330.9
Q4 2027	PES motors, air-moving and commercial/residential HVAC	461.7	31.5%	145.4
Q1 2028	AMC precision motion excluding separate switchgear and humanoid proxies	427.8	40.0%	171.1
Q1 2028	AMC traditional data-center switchgear	66.2	43.5%	28.8
Q1 2028	AMC existing humanoid development programs	9.2	45.0%	4.1
Q1 2028	AMC original ePOD order recognized on acceptance	64.0	27.0%	17.3
Q1 2028	IPS industrial powertrain and aftermarket	694.6	43.5%	302.2
Q1 2028	PES motors, air-moving and commercial/residential HVAC	409.4	32.0%	131.0
Q2 2028	AMC precision motion excluding separate switchgear and humanoid proxies	465.0	40.0%	186.0
Q2 2028	AMC traditional data-center switchgear	72.0	43.5%	31.3

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2028	AMC existing humanoid development programs	10.0	45.0%	4.5
Q2 2028	AMC original ePOD order recognized on acceptance	56.0	27.0%	15.1
Q2 2028	IPS industrial powertrain and aftermarket	755.0	43.5%	328.4
Q2 2028	PES motors, air-moving and commercial/residential HVAC	445.0	32.0%	142.4
Q3 2028	AMC precision motion excluding separate switchgear and humanoid proxies	465.0	40.0%	186.0
Q3 2028	AMC traditional data-center switchgear	72.0	43.5%	31.3
Q3 2028	AMC existing humanoid development programs	10.0	45.0%	4.5
Q3 2028	AMC original ePOD order recognized on acceptance	32.0	27.0%	8.6
Q3 2028	IPS industrial powertrain and aftermarket	755.0	43.5%	328.4
Q3 2028	PES motors, air-moving and commercial/residential HVAC	445.0	32.0%	142.4
Q4 2028	AMC precision motion excluding separate switchgear and humanoid proxies	502.2	40.0%	200.9
Q4 2028	AMC traditional data-center switchgear	77.8	43.5%	33.8
Q4 2028	AMC existing humanoid development programs	10.8	45.0%	4.9
Q4 2028	AMC original ePOD order recognized on acceptance	8.0	27.0%	2.2
Q4 2028	IPS industrial powertrain and aftermarket	815.4	43.5%	354.7
Q4 2028	PES motors, air-moving and commercial/residential HVAC	480.6	32.0%	153.8
Q1 2029	AMC precision motion excluding separate switchgear and humanoid proxies	453.1	40.5%	183.5
Q1 2029	AMC traditional data-center switchgear	76.1	43.5%	33.1
Q1 2029	AMC existing humanoid development programs	10.3	45.0%	4.7
Q1 2029	AMC original ePOD order recognized on acceptance	0.0	27.0%	0.0
Q1 2029	IPS industrial powertrain and aftermarket	729.1	43.9%	320.1
Q1 2029	PES motors, air-moving and commercial/residential HVAC	425.5	32.3%	137.4
Q2 2029	AMC precision motion excluding separate switchgear and humanoid proxies	492.5	40.5%	199.5

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2029	AMC traditional data-center switchgear	82.8	43.5%	36.0
Q2 2029	AMC existing humanoid development programs	11.2	45.0%	5.1
Q2 2029	AMC original ePOD order recognized on acceptance	0.0	27.0%	0.0
Q2 2029	IPS industrial powertrain and aftermarket	792.5	43.9%	347.9
Q2 2029	PES motors, air-moving and commercial/residential HVAC	462.5	32.3%	149.4
Q3 2029	AMC precision motion excluding separate switchgear and humanoid proxies	492.5	40.5%	199.5
Q3 2029	AMC traditional data-center switchgear	82.8	43.5%	36.0
Q3 2029	AMC existing humanoid development programs	11.2	45.0%	5.1
Q3 2029	AMC original ePOD order recognized on acceptance	0.0	27.0%	0.0
Q3 2029	IPS industrial powertrain and aftermarket	792.5	43.9%	347.9
Q3 2029	PES motors, air-moving and commercial/residential HVAC	462.5	32.3%	149.4
Q4 2029	AMC precision motion excluding separate switchgear and humanoid proxies	531.9	40.5%	215.4
Q4 2029	AMC traditional data-center switchgear	89.4	43.5%	38.9
Q4 2029	AMC existing humanoid development programs	12.2	45.0%	5.5
Q4 2029	AMC original ePOD order recognized on acceptance	0.0	27.0%	0.0
Q4 2029	IPS industrial powertrain and aftermarket	855.9	43.9%	375.7
Q4 2029	PES motors, air-moving and commercial/residential HVAC	499.5	32.3%	161.3
Q1 2030	AMC precision motion excluding separate switchgear and humanoid proxies	476.1	41.0%	195.2
Q1 2030	AMC traditional data-center switchgear	83.7	43.5%	36.4
Q1 2030	AMC existing humanoid development programs	11.5	45.0%	5.2
Q1 2030	AMC original ePOD order recognized on acceptance	0.0	27.0%	0.0
Q1 2030	IPS industrial powertrain and aftermarket	761.3	44.2%	336.5
Q1 2030	PES motors, air-moving and commercial/residential HVAC	439.3	32.5%	142.8

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	AMC precision motion excluding separate switchgear and humanoid proxies	517.5	41.0%	212.2
Q2 2030	AMC traditional data-center switchgear	91.0	43.5%	39.6
Q2 2030	AMC existing humanoid development programs	12.5	45.0%	5.6
Q2 2030	AMC original ePOD order recognized on acceptance	0.0	27.0%	0.0
Q2 2030	IPS industrial powertrain and aftermarket	827.5	44.2%	365.8
Q2 2030	PES motors, air-moving and commercial/residential HVAC	477.5	32.5%	155.2
Q3 2030	AMC precision motion excluding separate switchgear and humanoid proxies	517.5	41.0%	212.2
Q3 2030	AMC traditional data-center switchgear	91.0	43.5%	39.6
Q3 2030	AMC existing humanoid development programs	12.5	45.0%	5.6
Q3 2030	AMC original ePOD order recognized on acceptance	0.0	27.0%	0.0
Q3 2030	IPS industrial powertrain and aftermarket	827.5	44.2%	365.8
Q3 2030	PES motors, air-moving and commercial/residential HVAC	477.5	32.5%	155.2
Q4 2030	AMC precision motion excluding separate switchgear and humanoid proxies	558.9	41.0%	229.1
Q4 2030	AMC traditional data-center switchgear	98.3	43.5%	42.8
Q4 2030	AMC existing humanoid development programs	13.5	45.0%	6.1
Q4 2030	AMC original ePOD order recognized on acceptance	0.0	27.0%	0.0
Q4 2030	IPS industrial powertrain and aftermarket	893.7	44.2%	395.0
Q4 2030	PES motors, air-moving and commercial/residential HVAC	515.7	32.5%	167.6

Operating-cost derivation

Quarter	R&D allocation within ordinary segment expense including SBC and D&A	Selling, general, corporate and operating support already allocated to segments	Acquired-intangible amortization retained in full	Recurring restructuring, integration and productivity execution allowance
Q3 2026	32.1	285.9	86.0	6.9
Q4 2026	32.8	284.7	86.0	2.6
Q1 2027	31.7	276.2	85.5	5.0
Q2 2027	35.1	304.6	85.5	5.0
Q3 2027	35.6	308.5	85.5	5.0
Q4 2027	38.7	335.0	85.5	5.0
Q1 2028	33.7	289.6	84.2	5.2
Q2 2028	36.4	313.7	84.2	5.2
Q3 2028	36.1	311.8	84.2	5.2
Q4 2028	38.7	334.7	84.2	5.2
Q1 2029	34.7	298.0	82.4	5.3
Q2 2029	37.7	323.9	82.4	5.3
Q3 2029	37.7	323.9	82.4	5.3
Q4 2029	40.7	349.8	82.4	5.3
Q1 2030	36.3	310.5	81.8	5.5
Q2 2030	39.5	337.5	81.8	5.5
Q3 2030	39.5	337.5	81.8	5.5
Q4 2030	42.6	364.5	81.8	5.5

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	INITIAL ACCEPTANCE	60%	0.0	0.0	0.0	0.0
Q3 2026	FOLLOW ON EPOD	70%	0.0	0.0	0.0	0.0
Q3 2026	HUMANOID PRODUCTION	40%	0.0	0.0	0.0	0.0
Q3 2026	SELECTIVE PRICING	50%	0.0	0.0	0.0	0.0
Q3 2026	POD DELAY	25%	0.0	0.0	0.0	0.0
Q3 2026	MAGNET CONSTRAINT	25%	0.0	0.0	0.0	0.0
Q3 2026	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q4 2026	INITIAL ACCEPTANCE	60%	0.0	0.0	0.0	0.0
Q4 2026	FOLLOW ON EPOD	70%	0.0	0.0	0.0	0.0
Q4 2026	HUMANOID PRODUCTION	40%	0.0	0.0	0.0	0.0
Q4 2026	SELECTIVE PRICING	50%	0.0	0.0	0.0	0.0
Q4 2026	POD DELAY	25%	0.0	0.0	0.0	0.0
Q4 2026	MAGNET CONSTRAINT	25%	0.0	0.0	0.0	0.0
Q4 2026	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q1 2027	INITIAL ACCEPTANCE	60%	16.8	4.4	1.3	1.8
Q1 2027	FOLLOW ON EPOD	70%	0.0	0.0	2.5	-1.8
Q1 2027	HUMANOID PRODUCTION	40%	5.8	2.6	2.1	0.2
Q1 2027	SELECTIVE PRICING	50%	4.5	3.2	0.5	1.4
Q1 2027	POD DELAY	25%	-13.4	-3.5	1.4	-1.2
Q1 2027	MAGNET CONSTRAINT	25%	-8.0	-3.6	-1.2	-0.6
Q1 2027	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q2 2027	INITIAL ACCEPTANCE	60%	30.8	8.0	2.5	3.3
Q2 2027	FOLLOW ON EPOD	70%	0.0	0.0	2.5	-1.8
Q2 2027	HUMANOID PRODUCTION	40%	6.2	2.8	2.2	0.2
Q2 2027	SELECTIVE PRICING	50%	4.9	3.4	0.5	1.5
Q2 2027	POD DELAY	25%	-24.6	-6.4	0.5	-1.7

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2027	MAGNET CONSTRAINT	25%	-8.7	-3.9	-1.3	-0.7
Q2 2027	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q3 2027	INITIAL ACCEPTANCE	60%	42.0	10.9	3.4	4.5
Q3 2027	FOLLOW ON EPOD	70%	0.0	0.0	2.5	-1.8
Q3 2027	HUMANOID PRODUCTION	40%	6.2	2.8	2.2	0.2
Q3 2027	SELECTIVE PRICING	50%	4.9	3.4	0.5	1.5
Q3 2027	POD DELAY	25%	-33.6	-8.7	-0.2	-2.1
Q3 2027	MAGNET CONSTRAINT	25%	-8.7	-3.9	-1.3	-0.7
Q3 2027	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q4 2027	INITIAL ACCEPTANCE	60%	50.4	13.1	4.0	5.4
Q4 2027	FOLLOW ON EPOD	70%	0.0	0.0	2.5	-1.8
Q4 2027	HUMANOID PRODUCTION	40%	6.8	3.0	2.3	0.3
Q4 2027	SELECTIVE PRICING	50%	5.3	3.7	0.5	1.6
Q4 2027	POD DELAY	25%	-40.3	-10.5	-0.7	-2.4
Q4 2027	MAGNET CONSTRAINT	25%	-9.4	-4.2	-1.4	-0.7
Q4 2027	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q1 2028	INITIAL ACCEPTANCE	60%	-56.0	-14.6	-4.5	-6.0
Q1 2028	FOLLOW ON EPOD	70%	195.5	52.8	19.6	23.2
Q1 2028	HUMANOID PRODUCTION	40%	11.5	5.2	3.0	0.9
Q1 2028	SELECTIVE PRICING	50%	4.8	3.4	0.5	1.4
Q1 2028	POD DELAY	25%	44.8	11.6	3.6	2.0
Q1 2028	MAGNET CONSTRAINT	25%	-8.6	-3.9	-1.3	-0.6
Q1 2028	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q2 2028	INITIAL ACCEPTANCE	60%	-49.0	-12.7	-3.9	-5.3
Q2 2028	FOLLOW ON EPOD	70%	212.5	57.4	21.1	25.4
Q2 2028	HUMANOID PRODUCTION	40%	12.5	5.6	3.1	1.0
Q2 2028	SELECTIVE PRICING	50%	5.2	3.6	0.5	1.6
Q2 2028	POD DELAY	25%	39.2	10.2	3.1	1.8
Q2 2028	MAGNET CONSTRAINT	25%	-9.3	-4.2	-1.4	-0.7

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2028	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q3 2028	INITIAL ACCEPTANCE	60%	-28.0	-7.3	-2.2	-3.0
Q3 2028	FOLLOW ON EPOD	70%	212.5	57.4	21.1	25.4
Q3 2028	HUMANOID PRODUCTION	40%	12.5	5.6	3.1	1.0
Q3 2028	SELECTIVE PRICING	50%	5.2	3.6	0.5	1.6
Q3 2028	POD DELAY	25%	22.4	5.8	1.8	1.0
Q3 2028	MAGNET CONSTRAINT	25%	-9.3	-4.2	-1.4	-0.7
Q3 2028	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q4 2028	INITIAL ACCEPTANCE	60%	-7.0	-1.8	-0.6	-0.8
Q4 2028	FOLLOW ON EPOD	70%	229.5	62.0	22.7	27.5
Q4 2028	HUMANOID PRODUCTION	40%	13.5	6.1	3.3	1.1
Q4 2028	SELECTIVE PRICING	50%	5.6	3.9	0.6	1.7
Q4 2028	POD DELAY	25%	5.6	1.5	0.4	0.3
Q4 2028	MAGNET CONSTRAINT	25%	-10.0	-4.5	-1.5	-0.8
Q4 2028	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q1 2029	INITIAL ACCEPTANCE	60%	0.0	0.0	0.0	0.0
Q1 2029	FOLLOW ON EPOD	70%	253.0	68.3	23.8	31.2
Q1 2029	HUMANOID PRODUCTION	40%	18.4	8.3	4.0	1.7
Q1 2029	SELECTIVE PRICING	50%	5.1	3.5	0.5	1.5
Q1 2029	POD DELAY	25%	0.0	0.0	0.0	0.0
Q1 2029	MAGNET CONSTRAINT	25%	-9.1	-4.1	-1.4	-0.7
Q1 2029	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q2 2029	INITIAL ACCEPTANCE	60%	0.0	0.0	0.0	0.0
Q2 2029	FOLLOW ON EPOD	70%	275.0	74.2	25.8	33.9
Q2 2029	HUMANOID PRODUCTION	40%	20.0	9.0	4.2	1.9
Q2 2029	SELECTIVE PRICING	50%	5.5	3.8	0.5	1.6
Q2 2029	POD DELAY	25%	0.0	0.0	0.0	0.0
Q2 2029	MAGNET CONSTRAINT	25%	-9.9	-4.4	-1.5	-0.7
Q2 2029	AR RUNOFF	25%	0.0	0.0	0.0	0.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2029	INITIAL ACCEPTANCE	60%	0.0	0.0	0.0	0.0
Q3 2029	FOLLOW ON EPOD	70%	275.0	74.2	25.8	33.9
Q3 2029	HUMANOID PRODUCTION	40%	20.0	9.0	4.2	1.9
Q3 2029	SELECTIVE PRICING	50%	5.5	3.8	0.5	1.6
Q3 2029	POD DELAY	25%	0.0	0.0	0.0	0.0
Q3 2029	MAGNET CONSTRAINT	25%	-9.9	-4.4	-1.5	-0.7
Q3 2029	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q4 2029	INITIAL ACCEPTANCE	60%	0.0	0.0	0.0	0.0
Q4 2029	FOLLOW ON EPOD	70%	297.0	80.2	27.7	36.7
Q4 2029	HUMANOID PRODUCTION	40%	21.6	9.7	4.5	2.1
Q4 2029	SELECTIVE PRICING	50%	5.9	4.2	0.6	1.8
Q4 2029	POD DELAY	25%	0.0	0.0	0.0	0.0
Q4 2029	MAGNET CONSTRAINT	25%	-10.6	-4.8	-1.6	-0.8
Q4 2029	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q1 2030	INITIAL ACCEPTANCE	60%	0.0	0.0	0.0	0.0
Q1 2030	FOLLOW ON EPOD	70%	299.0	80.7	27.9	37.0
Q1 2030	HUMANOID PRODUCTION	40%	25.3	11.4	5.0	2.5
Q1 2030	SELECTIVE PRICING	50%	5.3	3.7	0.5	1.6
Q1 2030	POD DELAY	25%	0.0	0.0	0.0	0.0
Q1 2030	MAGNET CONSTRAINT	25%	-9.5	-4.3	-1.4	-0.7
Q1 2030	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q2 2030	INITIAL ACCEPTANCE	60%	0.0	0.0	0.0	0.0
Q2 2030	FOLLOW ON EPOD	70%	325.0	87.8	30.2	40.2
Q2 2030	HUMANOID PRODUCTION	40%	27.5	12.4	5.4	2.8
Q2 2030	SELECTIVE PRICING	50%	5.7	4.0	0.6	1.7
Q2 2030	POD DELAY	25%	0.0	0.0	0.0	0.0
Q2 2030	MAGNET CONSTRAINT	25%	-10.4	-4.7	-1.6	-0.8
Q2 2030	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q3 2030	INITIAL ACCEPTANCE	60%	0.0	0.0	0.0	0.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2030	FOLLOW ON EPOD	70%	325.0	87.8	30.2	40.2
Q3 2030	HUMANOID PRODUCTION	40%	27.5	12.4	5.4	2.8
Q3 2030	SELECTIVE PRICING	50%	5.7	4.0	0.6	1.7
Q3 2030	POD DELAY	25%	0.0	0.0	0.0	0.0
Q3 2030	MAGNET CONSTRAINT	25%	-10.4	-4.7	-1.6	-0.8
Q3 2030	AR RUNOFF	25%	0.0	0.0	0.0	0.0
Q4 2030	INITIAL ACCEPTANCE	60%	0.0	0.0	0.0	0.0
Q4 2030	FOLLOW ON EPOD	70%	351.0	94.8	32.6	43.5
Q4 2030	HUMANOID PRODUCTION	40%	29.7	13.4	5.7	3.1
Q4 2030	SELECTIVE PRICING	50%	6.2	4.3	0.6	1.9
Q4 2030	POD DELAY	25%	0.0	0.0	0.0	0.0
Q4 2030	MAGNET CONSTRAINT	25%	-11.2	-5.0	-1.7	-0.8
Q4 2030	AR RUNOFF	25%	0.0	0.0	0.0	0.0

Enterprise-to-equity reconciliation

20x forward-four-quarter fully expensed normalized GAAP operating profit attributable to common less fixed gross debt and pension claims; end-window economic shares. Quarter plus next three.

Valuation quarter	Claims date	Reference claims	Weighted change	Total claims used	Ceiling / share
Q3 2026	Q2 2027	4,739.6	0.0	4,739.6	173.26
Q4 2026	Q3 2027	4,739.6	0.0	4,739.6	195.33
Q1 2027	Q4 2027	4,739.6	0.0	4,739.6	220.10
Q2 2027	Q1 2028	4,739.6	0.0	4,739.6	236.17
Q3 2027	Q2 2028	4,739.6	0.0	4,739.6	250.47
Q4 2027	Q3 2028	4,739.6	0.0	4,739.6	261.58
Q1 2028	Q4 2028	4,739.6	0.0	4,739.6	271.56
Q2 2028	Q1 2029	4,739.6	0.0	4,739.6	280.03
Q3 2028	Q2 2029	4,739.6	0.0	4,739.6	289.64
Q4 2028	Q3 2029	4,739.6	0.0	4,739.6	300.06
Q1 2029	Q4 2029	4,739.6	0.0	4,739.6	312.18
Q2 2029	Q1 2030	4,739.6	0.0	4,739.6	320.84
Q3 2029	Q2 2030	4,739.6	0.0	4,739.6	330.26
Q4 2029	Q3 2030	4,739.6	0.0	4,739.6	339.66
Q1 2030	Q4 2030	4,739.6	0.0	4,739.6	349.81

The financial claims shown here are matched to the end of each four-quarter earnings window. Operating-quarter cash and claims schedules elsewhere show balances at their own quarter dates.

Claim decisions, overlap and triggers

INITIAL_ACCEPTANCE

p: 0.6

source: May 7 and August 5 earnings calls; June 30 contracted-obligation schedule

bounded: Original 735 million order is recognized only once: reference 15 million Q4 2026, 560 million 2027, 160 million 2028. Conditional 140 million accelerated from 2028 into 2027, bounded 0-175 million, with equal later reversal. This is acceptance timing, not an extra order.

bridge: 26% incremental GP less 8% variable expense yields 18% OP; probability applies symmetrically to both years. Active original 2027 revenue 616 million after separate delay probability, below the roughly 700 million management ambition.

counter: June >12-month obligations assign 631.176 million to 2027 across all such programs; management says initial ePOD deliveries span 2027/28. Not every quoted order is ready-to-ship qualified output.

FOLLOW_ON_EPOD

p: 0.7

source: August 5 multiple customer designs and expected late 2026/early 2027 follow-on orders

bounded: New ePOD accepted sales 850/1100/1300 million in 2028/29/30, bounded 0-1100/0-1500/0-1800 million. Illustrative 170/220/260 accepted 5 million-equivalent assemblies, not a disclosed physical unit ASP. Initial 735 million order and traditional switchgear excluded.

bridge: 27% GP less 9% variable expense and 10 million pre-ramp 2027, 8 million 2028, 4 million later fixed support.27% GP includes bought-in electrical content, factory cost and depreciation.18% OP before fixed expense versus unproven 20%+ adjusted-EBITDA aspiration.

counter: New factory, inspection, labor and customer acceptance can limit output. ABB, Schneider and Eaton content is not proprietary RRX semiconductor-like rent; competitors can integrate similar equipment.

HUMANOID_PRODUCTION

p: 0.4

source: Full May 7 call: 40 million 2025 mostly prototype humanoid orders and just over 1 mQ1 orders; broad robotics funnel

bounded: Conditional commercial program sales 50/100/160/220 million 2027-30 within 0-100/0-200/0-300/0-400 million; remove 50% overlap with baseline and other robotics cross-selling. Remaining 25/50/80/110 million equals 12500/25000/40000/55000 equivalent 2000-dollar motion baskets; not whole robots or reported ASP.

bridge: 45% GP less 15% variable engineering/SG&A and 5 million annual qualification support; both benefit and cost weighted 40%. Baseline 35/40/45/50 million already covers continuing development business.

counter: Prototype orders are not sustained production. Joint-level heat, gearing, bearings, control, safety and yield still need customer qualification. No named US customer inferred.

SELECTIVE_PRICING

p: 0.5

source: August 5 inflation/price lag and selective repricing discussion

bounded: From 2027, 2% additional realization on 30% newly priced core motion, switchgear, IPS and PES invoices; 50% overlap with ordinary reference recovery removed. Bounded 0-3%. Fixed 735 million contract and new ePOD and humanoid branches excluded.

bridge: 70% GP retention after supplier inflation less 10% selling/support cost. Conditional 60% of net incremental price sales becomes OP, without another operating-leverage add-on.

counter: Distribution and OEM contracts delay realization; competition may absorb some scarcity premium. Not a 2% lift on the whole company.

POD_DELAY

p: 0.25

source: August 5 first ePOD ramp, qualification, labor and delivery timing

bounded: 20% of original 2027 reference 560 million delayed one year, 112 million within 0-168 million; same revenue returns 2028. This affects the reference tranche while acceleration applies to the distinct remaining 2028 tranche.

bridge: Lost 26% GP offset 8% variable expense savings plus 10 million 2027 idle/ramp support. Probability 25%; no separate broad TAM reduction for the same delay.

counter: Customer orders and substantial construction progress are supportive, but invoice timing requires acceptance and executable output.

MAGNET_CONSTRAINT

p: 0.25

source: August 5 commercial magnet mitigation and remaining defense approvals

bounded: 10% missed output on 20% core AMC revenue from 2027, net 2% of that core vector; bounded 0-3%. Exposure allocation is a labeled proxy, not an identified defense backlog.

bridge: 45% lost GP less 15% variable-cost saving; fixed expense remains. Conservative downside despite source saying constraint mainly limits incremental opportunities.

counter: Commercial approvals are mostly solved and substitutes can reduce the effect; no automatic blanket rare-earth scarcity windfall.

AR_RUNOFF

p: 0.25

source: June 30 10-Q receivables program, 373.6 million derecognized and December 2027 expiry

bounded: 25% probability of no renewal: rebuild 373.6 million cash-funded receivables inQ4 2027, bounded 200-430 million. No default assumed on the sold balances.

bridge: Funding outflow only. Receivables no longer on balance sheet are not added as assets or subtracted as debt in the equity bridge. Existing recurring selling fees conservatively remain in modeled opex; no speculative fee-savings earnings.

counter: Program was renewed in June 2026, so renewal is plausible. Contract-asset growth and seasonal working capital can still consume cash.

ZERO_AND_OVERLAP

p: 1

decision: No separate 250 million cross-selling uplift, customer 600 million funnel uplift, undisclosed customer win, or 40 million prototype order capitalization. Ordinary growth includes cross-selling and recovery; ePOD original order recognized once; The 48 million 2026 operating refund benefit is excluded from recurring OP. Only the 17.1 million June receivable enters future cash; 21 million already collected is not repeated.

zero reason: These would duplicate current sales, speculative awards or one-time recovery. Qualified forward opportunities still receive explicit positive probabilities above; absence of confirmation alone is not a zero rule.

Remaining bounded uncertainties

- The separate August 10 investor presentation was publicly listed but its original could not be retrieved. The August 5 earnings presentation is archived. Both May 7 and August 5 complete management discussions/Q&A were read through public transcript mirrors, with financial claims checked against originals.

- No physical ePOD unit price, final acceptance terms, full component sourcing margin or named customer provided; 5 million assembly equivalent is a model normalization, not a reported ASP.

- No disclosed humanoid production customer or line-level qualified capacity. The 2, 000-dollar motion-basket proxy is conditional company content, not robot price or proven take rate.

- AMCcore/switchgear/humanoid cost allocations are estimates. Issuer reports segment GAAP gross/operating profit; R&D split inside SG&A is not separately disclosed.

- Routine depreciation, full PPA amortization and SBC remain expensed in OP. Cash adds back only the same noncash charges once.

- Cash tax 22% of OP less funding interest plus PPA amortization is a conservative cash-conversion proxy calibrated nearH1 cash tax; it is not a statement that all PPA is legally nondeductible.

- Cash 441.6 million at June 30 is not an October balance. Funding models maturities and the 18.1 m October 1 Altra note payment; actual settlement after June requires later filing.

- Gross principal 4640 million includes 92.4 million financeleases. Operating rent is expensed; 154.6 million operatinglease liability is not deducted again. Pension 99.6 million is a fixed liability reserve; service andcash contributions are separately reconciled.

- Fixed 4739.6 million gross claims receive no debt-paydown or cash-accumulation credit, although funding pays maturities. This conservatism is deliberate; future verified balance update can replace it.

- Issued 66.591867 million July 31 plus 1.008133 million conservative net award reserve gives 67.6 million opening economic shares, then 0.04 million perquarter. Award settlement/withholding overlap is uncertain; no full plan reserve or SAR face count blindlyadded, and no exercise-cash credit is given.

- No buyback reduction or future capital raise. Dividends can be deferred to protect 250 million cash plus near-term maturities and the 2030 revolver repayment; 128 states remain funded within available revolver. No assumed endless refinancing beyond November 2030 facility maturity.

- ARsold 373.6 million is derecognized and is not equivalent to funded corporate debt. Nonrenewal stress is cash only; continuing fees are conservatively retained.

- June NCIprofit 0.2 mH1 is rounded up to 0.25 million quarterly attribution reserve, not also an 8.1 million equityclaim.

- Funding retains 80 million extra ePOD workingcapital in 2027 on top of 20% sequential-revenue cash sensitivity; larger project advances or cashless supplier terms get no credit.

Selected original evidence

Source exhibit 1

https://s28.q4cdn.com/452460759/files/doc_earnings/2026/q2/presentation/2Q-2026_Earnings-Call-Slides.pdf | Full-year GAAP to adjusted earnings bridge; issuer August5,2026 presentation, page14.

2026 ADJUSTED ANNUAL GUIDANCE

Unaudited

	Minimum	Maximum
GAAP Diluted Earnings Per Share[a]	$ 5.42	$ 5.92
Intangible Amortization	3.92	3.92
Restructuring and Related Costs[b]	0.40	0.40
Share-Based Compensation Expense	0.32	0.32
Transaction and Integration Related Costs[c]	0.21	0.21
Loss on Sale of Assets	0.03	0.03
CEO Transition Costs	0.03	0.03
Accounts Receivable Securitization Transaction Costs	0.01	0.01
Operating Lease Asset Step Up	0.01	0.01
Adjusted Diluted Earnings Per Share[a]	$ 10.35	$ 10.85

(a) Includes $0.57 of benefit related to IEEPA tariff refunds.

(b) Relates to costs associated with actions taken for employee reductions, facility consolidations and site closures, product line exits and other asset charges.

(c) Primarily relates to integration costs associated with the Altra Transaction.

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Full-year GAAP to adjusted earnings bridge; issuer August5,2026 presentation, page14. Original units and footnotes apply.

Source exhibit 2

https://s28.q4cdn.com/452460759/files/doc_earnings/2026/q2/presentation/2Q-2026_Earnings-Call-Slides.pdf | GAAP and adjusted net income reconciliation; issuer August5,2026 presentation, page15.

2026 NET INCOME TO ADJUSTED EBITDA ANNUAL GUIDANCE

Unaudited

(Dollars in Millions)

	Total Regal Rexnord	
	Minimum	**Maximum**
Net Income	$ 363	$ 396
Plus: Income Taxes	89	96
Plus: Interest Expense	305	305
Less: Interest Income	(20)	(20)
Plus: Depreciation	161	161
Plus: Amortization	345	345
EBITDA[a]	$ 1,243	$ 1,283
Plus: Restructuring and Related Costs[b]	34	34
Plus: Share-Based Compensation Expense	28	28
Plus: Transaction and Integration Related Costs[c]	17	17
Plus: Loss on Sale of Accounts Receivable[d]	17	17
Plus: Loss on Sale of Assets	3	3
Plus: CEO Transition Costs	3	3
Plus: Accounts Receivable Securitization Transaction Costs	1	1
Plus: Operating Lease Asset Step Up	1	1
Adjusted EBITDA[a]	$ 1,347	$ 1,387

(a) Includes $48 million of benefit related to IEEPA tariff refunds.
(b) Relates to costs associated with actions taken for employee reductions, facility consolidations and site closures, product line exits and other asset charges.
(c) Primarily relates to integration costs associated with the Altra Transaction
(d) Represents charges associated with the Securitization Facility.

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GAAP and adjusted net income reconciliation; issuer August5,2026 presentation, page15. Original units and footnotes apply.

Source exhibit 3

https://s28.q4cdn.com/452460759/files/doc_earnings/2026/q2/presentation/2Q-2026_Earnings-Call-Slides.pdf | Segment gross-margin reconciliation; issuer August5,2026 presentation, page20.

ADJUSTED GROSS MARGIN

Unaudited

(Dollars in Millions)

	Three Months Ended							
	Automation & Motion Control		Industrial Powertrain Solutions		Power Efficiency Solutions		Total Regal Rexnord	
	Jun 30, 2026	Jun 30, 2025	**Jun 30, 2026**	Jun 30, 2025	**Jun 30, 2026**	Jun 30, 2025	**Jun 30, 2026**	Jun 30, 2025
Gross Margin[a]	**$ 183.3**	$ 154.6	**$ 286.9**	$ 280.4	**$ 141.4**	$ 129.7	**$ 611.6**	$ 564.7
Restructuring and Related Costs[b]	**0.6**	1.6	**4.3**	4.0	**1.7**	0.9	**6.6**	6.5
Operating Lease Asset Step Up	**—**	—	**0.2**	0.2	**—**	—	**0.2**	0.2
Loss on Sale of Assets	**—**	—	**2.4**	—	**—**	—	**2.4**	—
Adjusted Gross Margin[a]	**$ 183.9**	$ 156.2	**$ 293.8**	$ 284.6	**$ 143.1**	$ 130.6	**$ 620.8**	$ 571.4
Gross Margin %	**38.4 %**	37.6 %	**42.9 %**	43.2 %	**34.4 %**	29.8 %	**39.2 %**	37.7 %
Adjusted Gross Margin %	**38.5 %**	38.0 %	**43.9 %**	43.8 %	**34.8 %**	30.0 %	**39.8 %**	38.2 %

(a) Includes benefits of $5.9 million, $8.3 million, $17.8 million and $32.0 million for AMC, IPS, PES and total Regal Rexnord, respectively, related to IEEPA tariff refunds for the three months ended June 30, 2026.

(b) Relates to costs associated with actions taken for employee reductions, facility consolidations and site closures, product line exits and other asset charges.

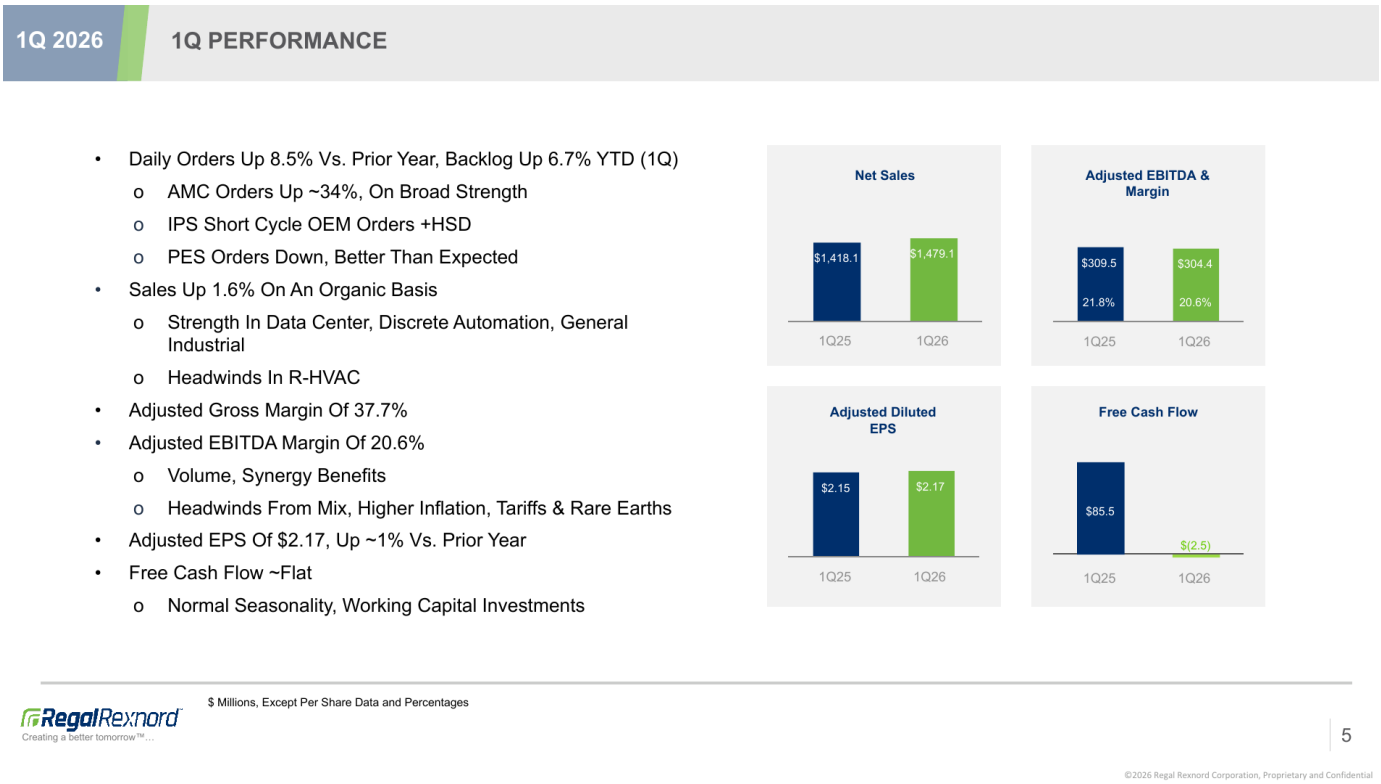
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Segment gross-margin reconciliation; issuer August5,2026 presentation, page20. Original units and footnotes apply.

Source exhibit 4

https://s28.q4cdn.com/452460759/files/doc_earnings/2026/q1/presentation/1Q-2026_Earnings-Call-Slides.pdf | Management Q1 outlook; compare the earlier baseline with the August update.



Management Q1 outlook; compare the earlier baseline with the August update. Original units and footnotes apply.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

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[2] Original issuer document | 2026-05-06 | https://s28.q4cdn.com/452460759/files/doc_earnings/2026/q1/earnings-result/1Q-2026-Earnings-Announcement.pdf | Archived SHA-256: 2b6a30cf9d21b80c88984bceea5765da48d67921a56e483179957a733cf1296b

[3] Full management call and Q&A; public transcript mirror | 2026-05-07 management call; mirror published May12 | https://www.fool.com/earnings/call-transcripts/2026/05/12/regal-rexnord-rrx-q1-2026-earnings-transcript/ | Archived SHA-256: de8dd76fc4b2233c436caca4ee3455e30ecd2942d3d102cb41e6cd1b2fc3930f

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